

Insights & Summary

1. Features Influencing House Price:

Based on the correlation analysis, features such as **area, bathrooms, stories, and air conditioning** showed a stronger influence on house prices compared to other features.

2. Model Accuracy:

The **Linear Regression model** performed slightly better than the Random Forest model with an **R² score of 0.65**. This means the model was able to explain about **65% of the variation** in house prices, indicating a reasonably good level of accuracy.

3. Interesting Observation:

One surprising finding was that features such as **parking and guest room availability** had a weaker impact on house prices than expected, while factors like area and air conditioning were more influential.

4. Model Comparison:

Although Random Forest is generally expected to perform better, in this dataset **Linear Regression achieved better results**, making it the preferred model for this analysis.

5. Recommendation for Real Estate Business:

Real estate businesses should focus on properties with **larger areas, more bathrooms, better amenities, and air conditioning**, as these features appear to contribute significantly to higher property values.